



Regulatory Circular

Financial Conduct Supervisory Notice 2025/17

Enhanced Monitoring of Politically Exposed Persons (PEPs)

1. Purpose

This circular sets out updated supervisory expectations regarding the identification, monitoring, and periodic review of Politically Exposed Persons (PEPs), their immediate family members, and known close associates.

The regulator has identified deficiencies in enhanced due diligence procedures during recent thematic reviews.

Firms are required to implement the measures set out below no later than 30 September 2025.

2. Identification and Classification

2.1 Firms must ensure that onboarding procedures include screening against up-to-date PEP databases covering domestic and international public office holders.

2.2 Where a customer is identified as a PEP, enhanced due diligence must be applied prior to account activation.

2.3 Firms must document the basis for PEP classification, including source of information and date of determination.

3. Enhanced Due Diligence Requirements

3.1 For all PEP relationships, firms must obtain:

- a) Verified source of wealth
- b) Verified source of funds
- c) Senior management approval prior to establishing or continuing the relationship

3.2 Firms must conduct adverse media screening at onboarding and at least annually thereafter.

3.3 Transaction monitoring thresholds for PEPs must be reviewed and calibrated to reflect increased risk exposure.

4. Ongoing Monitoring and Periodic Review

4.1 PEP relationships must be reviewed at least annually.

4.2 Reviews must include:

- a) Confirmation of continued PEP status
- b) Updated risk assessment
- c) Review of transactional activity
- d) Reconfirmation of source of wealth where material changes identified

4.3 Firms must evidence completion of periodic reviews through documented audit trail.

5. Reporting and Escalation

5.1 Any material adverse information concerning a PEP must be escalated to the Money Laundering Reporting Officer (MLRO) within 5 business days.

5.2 Where suspicious activity is identified, a Suspicious Activity Report (SAR) must be filed in accordance with existing statutory requirements.

5.3 Firms must maintain records of all escalations and internal decisions for a minimum of 7 years.

6. Governance and Oversight

6.1 The Board must receive quarterly reporting on:

- a) Total number of PEP relationships
- b) High-risk PEP classifications

- c) Overdue periodic reviews
- d) SAR filings relating to PEPs

6.2 Internal Audit must conduct annual independent testing of PEP controls.

7. Implementation Timeline

All measures must be fully implemented by 30 September 2025.

A written confirmation of compliance, signed by a Senior Manager Function holder, must be submitted to the regulator no later than 15 October 2025.